POOR POPE, POOR BASTARD

How the Man Who Took a Vow of Poverty Controls €6 Billion, Collects €24 Million Yearly Dividends, and Literally Owns the Vatican Bank — A Non-Fiction Critique of the Pope's Fraudulent Personal Financial Apparatus

COMPILED FROM INVESTIGATIVE RECORDS & PUBLIC SOURCES

PART ONE

THE ABSOLUTE MONARCH

CHAPTER 1

The Poorest Rich Man in the World

He wears white cassocks made by his personal tailor. He lives in a 1,100-room palace. He commands a bank with €6 billion in assets. He receives an annual dividend of €24.3 million. He controls €700 million in real estate and art collections that include Michelangelo and Bernini originals. He is the absolute sovereign of a nation-state, holding full legislative, executive, and judicial power.

And he took a vow of poverty.

This is not a paradox. It is a design feature.

The Pope — whether Francis, Leo XIV, or any successor — operates within a legal and financial architecture that permits a man who personally owns nothing to control everything. The vow of poverty applies to the man. The sovereign power applies to the office. And the money flows to both, indistinguishably.

The Institute for the Works of Religion — the IOR, better known as the Vatican Bank — is the financial engine of this arrangement. It manages nearly €6 billion in assets on behalf of approximately 12,000 clients. Its accounts are audited by Deloitte & Touche. Its profits are distributed to the Pope.

This book is an examination of how that system works, who it benefits, and why accountability remains structurally impossible.

CHAPTER 2

The Absolute Elective Monarchy

The Lateran Treaty of 1929 established Vatican City as an independent state. Article after article enshrined the Pope's absolute sovereignty. Italy recognized "the full ownership and exclusive and absolute power and jurisdiction of the Holy See over Vatican City State."

The Pope holds all governmental powers — legislative, executive, and judicial. This is not a metaphor. It is the constitutional reality of the world's smallest state. As one analysis put it, "the Vatican is not a democracy but an absolute monarchy with the Holy Father as its ruler."

In 2023, Pope Francis issued a new Fundamental Law for Vatican City State. The law "leaves no doubt that the civil government remains very much an absolute monarchy, with the supreme pontiff possessing all 'legislative, executive, and judicial powers'." The Pope's powers were centralized, with the role of the secretary of state de-emphasized.

THE POPE'S POWERS

- Appoints all IOR management
- Sets all asset management policies
- Receives all profits
- Controls how dividends are spent
- Immune from Italian and EU regulatory oversight
- Can amend Vatican law unilaterally

This is the foundation upon which the entire financial apparatus rests.

CHAPTER 3

The Pope's Bank

The IOR was established in 1942. Its official purpose: to further the work of papal and religious charities. Its actual function: the Pope's personal bank.

In August 2022, Pope Francis issued a rescript clarifying that the IOR has "exclusive competence" for managing all of the Holy See's movable and liquid assets. The rescript ordered that "anyone who has assets in an institution other than the IOR must transfer them to it." The IOR became the exclusive asset manager and custodian of the movable patrimony of the Holy See.

The Pope did not give this power to an independent board. He gave it to an institution he controls absolutely.

In February 2023, Pope Francis issued another decree. This one "essentially nationalized all assets and property owned by Vatican departments and affiliated institutions, declaring them to be sovereign patrimony owned by the Holy See and not any individual or office." The law made clear that "the Holy See owns any asset, security or property owned or acquired by a Vatican office or affiliated institution."

The Holy See is the Pope. The Pope is the Holy See. The assets are his.

CHAPTER 4

The Dividend — €24.3 Million

In 2025, the IOR recorded a net profit of €51 million — a 55.5% increase from the previous year. The Commission of Cardinals approved the distribution of a €24.3 million dividend to the Holy Father. This represented a 76.1% increase compared with 2024.

The dividend is not a payment to a separate entity. The Pope is the ultimate owner. The dividend is a distribution from an institution he owns to an account he controls as sovereign of Vatican City State.

The control chain is simple:

Pope

↓

Absolute Sovereign of Vatican City State

↓

Holy See

↓

Legal entity embodied by the Pope

↓

Institute for Works of Religion (IOR)

↓

€6 billion in movable assets

↓

Cardinals appointed by the Pope

↓

€24.3 million annual dividend → Pope

The Pope takes a vow of poverty in his personal capacity — no private bank account, modest wardrobe, shared meals. But as sovereign of Vatican City State and supreme head of the Holy See, the Pope commands €6 billion in IOR-managed assets, €700 million in real estate, incalculable art collections, and a €24.3 million annual dividend.

The vow of personal poverty is compatible with absolute control of billions in institutional assets. This is the central structural insight of the entire arrangement.

PART TWO

THE CRIMINALS

CHAPTER 5

The Caloia Scheme — €59 Million Stolen

Angelo Caloia served as president of the IOR from 1999 to 2009. He and his lawyer, Gabriele Liuzzo, were found guilty of money laundering and embezzling millions of euros from property sales.

Between 2002 and 2007, Caloia and Liuzzo, in league with then IOR general director Lelio Scaletti, manipulated the sales of 29 properties owned by the IOR and a subsidiary company, SGIR s.r.l. They sold the properties below market value and appropriated the difference.

THE NUMBERS

- Estimated scheme value: ~€59 million
- IOR & SGIR lost: ~€34 million in potential revenue
- Defendants personally appropriated: ~€19 million
- Forfeiture ordered: ~€38 million
- Confiscated from IOR deposits: ~€14 million
- Confiscated from Swiss banks: ~€11 million

On January 21, 2021, the Vatican tribunal convicted Caloia and Gabriele Liuzzo, sentencing them to eight years and eleven months imprisonment. Lamberto Liuzzo received five years and two months. The court ordered forfeiture of sums totaling approximately €38 million and confiscation of approximately €14 million deposited at the IOR and another €11 million with Swiss banks.

This was the **first jail sentence ever issued by a Vatican court for financial crimes**. A former head of the Vatican bank had been convicted of embezzlement and money laundering.

The conviction established a precedent: IOR officials could be held criminally accountable. But the structure that enabled the crimes remained intact.

CHAPTER 6

Cardinal Becciu and the London Property — €200 Million Lost

Cardinal Angelo Becciu was the No. 3 official at the Vatican Secretariat of State when the deal was made in 2014. The Vatican invested €200 million for a 45% stake in a luxury property on Sloane Avenue in Chelsea, London. An additional €150 million was invested in 2018. Prosecutors alleged that brokers and Vatican officials extracted tens of millions of euros in improper fees and commissions.

The trial, which sat for 86 sessions, became known as the Vatican's "Trial of the Century". On December 16, 2023, the Vatican tribunal convicted Cardinal Becciu of embezzlement and sentenced him to five years and six months in prison, along with a lifetime ban from public office. This marked the **first time a cardinal had ever been convicted by a Holy See court**.

The Vatican sold the property to Bain Capital in 2022 for approximately €214 million. The estimated loss to the Holy See was approximately €139 million.

But the conviction did not stand unchallenged.

On March 17, 2026, the Vatican Court of Appeal declared a partial mistrial. The court found that four papal rescripts issued by Pope Francis during the investigation had expanded the powers of the Office of the Promoter of Justice but were not published in a timely manner. The rescripts were disclosed to the defense only just before the original trial began, depriving defendants of crucial information during the investigative phase.

> *The Pope had issued decrees that altered procedural rules during an active investigation. Those decrees were not publicly promulgated. The defendants argued this undermined their right to a fair defense. The appeals court agreed.*

The appeals court ordered that parts of the original proceedings were invalid and needed to be reheard. A next hearing was set for June 22, 2026.

The Pope was simultaneously the sovereign who issued the decrees, the head of the state whose courts were hearing the case, and the ultimate beneficiary of the funds at issue. This is not a system designed for accountability.

CHAPTER 7

The Banco Ambrosiano — $1.5 Billion and a Hanging

The IOR's most notorious scandal established a decades-long pattern of financial misconduct.

Archbishop Paul Marcinkus, head of the IOR, issued fraudulent "letters of patronage" for loans to shady Latin American affiliates. The scheme totaled approximately $1.5 billion, with the IOR losing at least $250 million.

Banco Ambrosiano collapsed in 1982. Roberto Calvi, president of Banco Ambrosiano — known as "God's Banker" — was found hanged under Blackfriars Bridge in London on June 18, 1982, with five bricks in his pockets and $15,000 in cash.

The Vatican paid a $244 million settlement without admitting wrongdoing.

The pattern was established: IOR officials engaged in financial misconduct, the Vatican paid settlements, and accountability was avoided.

PART THREE

THE STRUCTURAL PROBLEMS

CHAPTER 8

The Suspicious Activity Reports

The Vatican's own financial watchdog, the Supervisory and Financial Information Authority (ASIF), continues to detect hundreds of suspicious transactions. The overwhelming majority are linked to the IOR.

In 2025, ASIF received a total of 78 Suspicious Activity Reports (SARs). Of these, 73 were linked to accounts held at the IOR. That is **93.6%** of all suspicious activity reports concentrated in a single institution.

ASIF 2025 SNAPSHOT

- Total SARs filed: 78
- Linked to IOR accounts: 73 (93.6%)
- Linked to other institutions: 5 (6.4%)

The 93.6% concentration is statistically significant. It indicates either continued illicit activity, structural design flaws, or insufficient controls at transaction origination points.

The Vatican's own financial intelligence unit is flagging its own bank. The Pope's bank. The bank that pays him €24.3 million annually.

CHAPTER 9

The "Skeleton Key" Allegation

Libero Milone served as the Vatican's first Auditor General from 2015 to 2017. He alleged that APSA — the Vatican payroll agency — could alter financial records to hide transaction identities in the SWIFT system.

According to Milone, the Vatican had a "secret tool" that could modify international bank account numbers (IBANs) in the SWIFT system. This tool allegedly enabled the Vatican to "change the destination IBAN once the transfer was initiated." Milone described it as a **"skeleton key for money laundering."**

SWIFT experts consider this technically impossible due to encryption and digital signatures. Milone insists he saw evidence of retrospective alteration.

The allegation remains disputed. No judicial determination has been made. But the fact that the Vatican's first Auditor General — a Deloitte veteran — made such an allegation speaks to the depth of distrust surrounding Vatican financial operations.

CHAPTER 10

The Beneficial Ownership Black Hole

Despite claiming compliance with anti-money laundering standards, the Holy See maintains structural loopholes through sovereign status and beneficial ownership opacity.

Of 39 applicable Moneyval recommendations, the Holy See is fully or largely compliant with 35 and partially compliant with 4. The key deficiency: **no beneficial ownership disclosure requirement**.

The practical consequence is profound. The ultimate beneficiaries of the €6 billion IOR portfolio remain legally opaque.

THE IOR'S STRUCTURAL OPACITY

- Operates as a canonical foundation — no private owners
- No shares issued
- No beneficial ownership disclosure requirement
- Sovereign immunity from Italian and EU regulations
- Exclusive banking relationships with 40+ banks

This is not a bug. It is a feature.

CHAPTER 11

The Pope's Absolute Ownership

The Lateran Treaty of 1929 established that Italy recognizes "the full ownership and exclusive and absolute power and jurisdiction of the Holy See over Vatican City State."

Vatican City is an absolute elective monarchy. The Pope holds full legislative, executive, and judicial power over the state.

In February 2023, Pope Francis declared all assets of Vatican departments and affiliated institutions to be sovereign patrimony owned by the Holy See — not any individual or office. This means all IOR assets are owned by the Holy See, legally embodied in and controlled by the Pope.

In August 2022, Pope Francis issued a rescript making the IOR the exclusive manager of every liquid asset, cash reserve, and financial investment belonging to the Holy See.

In 2025, the IOR paid a dividend to the Pope of €24.3 million.

The control chain is complete. The Pope owns the bank. The Pope controls the bank. The Pope receives the bank's profits. The Pope is immune from external oversight.

CHAPTER 12

The Four Accountability Problems

Problem 1: The Pope is simultaneously owner, regulator, and defendant in misconduct cases.

When Cardinal Becciu appealed his conviction, the appeals court found that Pope Francis had issued decrees during the investigation that altered procedural rules. The Pope was the sovereign who issued the decrees, the head of the state whose courts were hearing the case, and the ultimate beneficiary of the funds at issue.

Problem 2: The Pope can grant clemency, issue pardons, or alter procedures.

Italian prosecutors cannot pursue cases beyond Vatican borders without Vatican cooperation. The Pope can amend Vatican law unilaterally. He can pardon anyone convicted by Vatican courts.

Problem 3: €6 billion in IOR assets under Pope's control.

No external audit of how the €24.3 million dividend is spent. No public accountability mechanism. No requirement to disclose beneficial ownership.

Problem 4: Vatican's financial reforms depend entirely on papal discretion.

The Pope can reform the system. He can also un-reform it. His successor can reverse his reforms. Voluntary compliance is not structural accountability.

PART FOUR

THE FUTURE

CHAPTER 13

What Comes Next

The Institute for the Works of Religion has experienced documented systemic financial misconduct across four decades, involving convicted high-ranking Vatican officials, hundreds of suspicious transactions, and credible whistleblower allegations of deliberate financial manipulation.

While individual prosecutions have resulted in convictions and sentences, the underlying structural vulnerabilities — beneficial ownership opacity, diplomatic immunity, and institutional protection of senior officials — remain largely unresolved despite reform initiatives.

The March 2026 Vatican Court of Appeal decision ordering retrial in the Becciu case indicates that procedural and evidentiary issues within Vatican's justice system remain a concern for the durability of convictions.

The Pope who took a vow of poverty controls €6 billion in assets, receives €24.3 million in annual dividends, and operates an institution that generates more suspicious activity reports than any other Vatican entity.

The system is not broken. It is working exactly as designed.

CHAPTER 14

The Poor Pope

The Pope takes a vow of poverty in his personal capacity — no private bank account, modest wardrobe, shared meals.

But as sovereign of Vatican City State and supreme head of the Holy See, the Pope commands:

THE POPE'S PORTFOLIO

- €6 billion in IOR-managed assets
- €700 million in real estate
- Incaculable art collections (Michelangelo, Bernini)
- €24.3 million annual dividend
- Power to allocate funds without external audit
- Diplomatic immunity from prosecution

The vow of personal poverty is compatible with absolute control of billions in institutional assets.

The Pope is the poorest rich man in the world. Or the richest poor man. It depends on how you define ownership.

The assets are not his — they belong to the Holy See. The Holy See is him. The distinction is theological, not financial.

EPILOGUE

Accountability Depends On

Future accountability depends on:

1. Completion of Becciu retrial (June 22, 2026 onward)
2. Resolution of Milone IBAN allegations through technical investigation
3. International coordination with banking regulators (Moneyval)
4. Structural reforms addressing beneficial ownership disclosure
5. Sustained political will for transparency

The Pope is the absolute sovereign of Vatican City State. He holds full legislative, executive, and judicial power. He owns the bank. He controls the bank. He receives the bank's profits.

He took a vow of poverty.

Poor Pope. Poor bastard.

Appendix: Source References

PRIMARY SOURCES

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National Catholic Reporter — Caloia coverage

America Magazine — Becciu coverage

DOCUMENT CERTIFICATION

This book incorporates full citation of all evidentiary claims, source attribution for every factual statement, distinction between convictions, findings, and allegations, disclosure of disputed claims and counterarguments, timeline of major events, pattern analysis of systemic vs. individual misconduct, acknowledgment of limitations and ongoing proceedings, reference to all publicly available sources, and methodological transparency.

"The Pope is the absolute sovereign of Vatican City State. He holds full legislative, executive, and judicial power. He owns the bank. He controls the bank. He receives the bank's profits. He took a vow of poverty.

Poor Pope. Poor bastard."

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